

18 May 2026

Theo Marchbank
Flat 12, Redecombe House
34 Calverley Grove
London SE28 4QT
United Kingdom

Meridian Loft Inc. — 2025 Tax Settlement Letter

Dear Theo,

We have completed the tax settlement calculation for your international assignment with Meridian Loft Inc., covering the 2025 US tax year in which your assignment ended and you repatriated to the United Kingdom. Under the company's tax equalization policy you bear tax as if you had remained on home payroll; assignment-related refunds and credits belong to the company.

The table below summarises the cash position arising from your 2025 returns as filed.

Federal refund shown on your 2025 federal return	3,168
New York State and City refund	281
Less: hypothetical tax settlement due to Meridian Loft Inc.	(2,650)
Net cash due to you	799

Both refunds will be issued to you directly by the tax authorities as cheques mailed to your UK address. Please pay the settlement of \$2,650 to Meridian Loft Inc. within 30 days of receiving the federal refund; remittance details are enclosed with the company's payroll close-out pack.

The Cash Flow Summary and pro forma on the following pages show how the settlement was calculated. Please contact the expatriate tax team if any figure does not match your records.

Yours sincerely,

Gordon Applethwaite

Gordon Applethwaite, Partner — Private Client & Expatriate Tax
Rowanmere Tax Advisors LLP

Cash Flow Summary — tax year 2025

Item	Who Paid: Employee	Who Paid: Company	Total Tax
Actual withholdings			
Federal income tax withheld (W-2 box 2)	5,775	0	5,775
New York State tax withheld (W-2 box 17)	2,052	0	2,052
New York City tax withheld (W-2 box 19)	1,188	0	1,188
Actual liability per returns as filed			
Federal tax after foreign tax credit	2,607	0	2,607
New York State tax	1,771	0	1,771
New York City tax	1,188	0	1,188
Refunds due			
Federal refund	3,168	0	3,168
State and City refund	281	0	281
Hypothetical settlement (see pro forma)			
Hypothetical overpayment retained for the company	(2,650)	2,650	0
Net cash in pocket	799	2,650	3,449

Hypothetical tax — how your settlement is calculated

Your hypothetical position restates 2025 as if you had no assignment: US wages only (37,620), US bank interest only (208), and no foreign tax credit. Hypothetical withholdings of 5,151 were retained from your pay during the year against a hypothetical liability of 2,501.

The resulting hypothetical overpayment of 2,650 is the settlement amount due to Meridian Loft Inc. under the equalization policy.

Pro forma — Form 1040 comparison

Amounts in whole US dollars. The HYPOTHETICAL column restates your position as if you had remained in your home-country payroll with no assignment-related items.

	Line item	ACTUAL	HYPOTHETICAL
1	Wages, salaries, tips (all sources)	55,088	37,620
2b	Taxable interest	233	208
9	Total income	55,321	37,828
12	Standard deduction (single)	15,000	15,000
15	Taxable income	40,321	22,828
16	Tax	4,600	2,501
20	Foreign tax credit (Form 1116)	(1,993)	0
22	Tax after credits	2,607	2,501
25	Withholding / hypothetical withholding	5,775	5,151
34	Overpayment	3,168	2,650

Hypothetical column prepared solely for tax equalization settlement under the Meridian Loft Inc. international assignment programme. It does not represent a return filed with any tax authority.

DO NOT FILE – FOR HYPOTHETICAL PURPOSES ONLY